Understanding Market Value

How the simulation calculates the value of your company

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THE CORE QUESTION

What Is Market Value? (how it’s calculated in the sim)

— **Free cash flow**: what's left after paying the costs of running the business -- revenue comes in, expenses and reinvestment go out, whatever's left over is free cash flow.

— **Project future cash flows**: based on revenue growth and profit margins.

— **Discount those future cash flows** back to today using WACC -- the return investors would require to make the investment worthwhile.

— **Sum & subtract debt** (excess cash and other nonoperating assets) -- that's the market value of the company.

Basically, Market Valuation is the value the company is worth to investors or how much cash flow the company will generate in the future and how risky that future cash flow is, depending upon the quality of the marketing strategy

Projecting Cash Flows: Two Stages

Your marketing strategy (Kahn Matrix) determines the forecast horizon T

Stage 1 — Discrete Period (T = 6–12 years)

Year-by-year forecasts of revenue growth, margin growth, and investment & SG&A growth

Stage 2 — Terminal Value (year T+1)

One lump-sum value for all years beyond T — typically 60–80% of total valuation

Strong, stable strategy → shorter T

- Analysts are confident in the forecasts
- Terminal value arrives sooner — discounted less, so it is worth more today
- The company has already proven itself

Risky, uncertain strategy → longer T

- An admission the firm needs more time to prove itself (or reach profitability)
- Future-year estimates are more uncertain
- Terminal value is pushed further out — discounted more, so it is worth less today

Edge case: a team crushing it on margins today but with no long-term differentiation has high current cash flow but a short horizon.

Edge case: a company with negative cash flow today but a durable, differentiated advantage (think: a pharma company chasing a cure) can end up worth more once you project forward -- **and as you project further out, that second company wins.**

THE DISCOUNT RATE

WACC, in Plain English

WACC = the blended return investors (debt and equity) require to put money into your company.

Debt is initially cheap -- it's tax-advantaged and can accelerate growth -- but too much debt raises risk, which raises WACC.

A strong durable brand and marketing strategy can lower perceived risk, which can lower WACC (in this simulation the Kahn Matrix which assesses marketing strategy affects the competitive advantage horizon T)

The Iron Rule of WACC

Higher WACC pushes valuation down.
Lower WACC pushes it up.

1–2%

WACC Difference

A 1–2 percentage point swing in WACC can move market value by 20–30%

20–30%

Valuation Swing

The compounding effect of a higher discount rate across the full projection horizon

Higher WACC pushes valuation down.

Lower WACC pushes it up.

Discounting at WACC: Risk Has a Price

Higher WACC → heavier discounting → lower market valuation

What sets WACC

Equity rate: fixed at 6% above the AAA rate in simulation

Debt rate: rises with borrowing — anything cash can't cover (opening stores, holding inventory) adds debt and pushes the rate up

Your credit rating drives your debt rate

Scored 0–9 from three ratios:

- Current Ratio (current assets/current liabilities)
- Interest coverage (operating income/ interest expense)
- Debt-to-equity ratio

9 = AAA 0 = D (significantly higher rates)

The downward spiral when credit deteriorates

Credit rating falls → Borrowing rates rise → Interest obligations drain cash flow → WACC rises, perceived risk grows → **Market valuation drops**

How the Game Actually Scores You

— **DCF Value** (the main method): value based on how much cash you'll generate in the future.

— Even with weak profits, you get credit for **strong customer relationships (CLV) and private-label brand strength**.

— Worst case: **liquidation value** -- sell inventory, collect receivables, sell assets, pay off debt.

— The game uses whichever of the three is greatest.

ROIC: The Real Scorecard

Pre-tax ROIC: for every dollar invested in the business, how much operating profit does it generate?

Example: invest $100M in stores, inventory, and technology; generate $15M in operating profit → ROIC = 15%.

If ROIC > WACC, you're creating value. If ROIC < WACC, growth actually destroys value -- even while revenue and store count are rising.

Value creation isn't about margin or growth alone -- it's about the spread between ROIC and WACC.

What Past Teams Learned

Move on just **ONE** dimension of the Kahn Matrix: great short-term cash flow, but no sustainability -- low T, mediocre market value. One-trick ponies don't survive.

Move on **THREE OR FOUR** dimensions: great sustainability, but so asset-inefficient and low-return that you still land at a mediocre market value. You can't be all things to all people and make money doing it.

Move on **TWO** dimensions, hold parity on the other two: strong cash flow, strong sustainability, great asset efficiency -- the best market value. **This is the sweet spot; teams need to find the “saddle” in the curve.**

Best Strategy, Step by Step

1. Pick customers you can actually satisfy and give them what they want.
2. Do it efficiently -- don't waste resources on things those customers don't value.
3. Charge a fair amount for the value you're delivering.
4. Extend what you built into a second, credible quadrant.
5. Don't completely neglect the customers you're not focused on -- maintain some offering for them.
6. Convince the market you can retain these customers and repeat this, round after round.
7. Early on, prioritize customers and offering over the financials -- the financials tend to follow a loyal customer base.

Steps 1–3 build the current-period FCF. Steps 4–5 build T. Step 6 builds the WACC advantage. Step 7 is the sequencing principle that prevents teams from optimizing the wrong variable at the wrong time.

Why Invest in Stores?

- **Stores change access, not preference.**

  They don't change what customers want or whether they stay — they change how many customers can reach you. Once you prove you can create value (for each store or investment), valuation is further leveraged by growth.

- **More stores address a bigger market — but consume cash and add debt.**

  Every store is capitalized; if cash falls short the simulation borrows automatically, and inventory and working capital rise with each store.

- **Fewer stores address a smaller market — but free up cash.**

  Closing recovers the store's remaining value, retires debt, and lowers depreciation and interest.

- **Closing stores will not expand your budget!**

  Your budget reflects total company revenue — and closing stores does not generate revenue.

- **You can't close "bad" stores.**

  All stores are the same for the purposes of the simulation.

- **Expand only when demand and margins can support the added capital.**

  Expansion without demand → too much debt → lower market value. Expansion with demand → higher revenue and operating income, even if it takes debt.

More Stores ≠ More Value

Additional stores give you access to more customers — they don't guarantee you address that larger market successfully. Market access is not the same as market value creation. The spread must be positive first.

The Sequencing Rule

Prove you can create value (positive ROIC–WACC spread) at the store level first. Then valuation becomes further leveraged through growth — scale amplifies a positive spread just as destructively as it amplifies a negative one.

Idle, Growing Cash ≈ Warning Signal

In the simulation, idle cash signals underinvestment — not prudent liquidity. If cash is accumulating without being redeployed into stores, breadth, or depth, the simulation penalizes the foregone growth opportunity.

What the Balance Sheet Doesn't Capture

Brand, customer data, and vendor relationships are real competitive assets — even though they're expensed rather than capitalized. The simulation gives you full credit for them through the CLV/brand-adjusted valuation method.

This is why the three-method approach matters: teams that invest heavily in customer equity may find their CLV-based valuation exceeds their DCF valuation — and the simulation uses whichever is highest. Expensed investments are not lost; they show up in the valuation through a different door.

Financing for new stores is a fixed split between debt and cash. More stores means more debt — and more debt means higher WACC unless FCF grows proportionally.

Decision Levers: What Each Investment Actually Does

Not all investments are equal — they differ in timing of impact, balance sheet treatment, persistence, and effect on WACC. Understanding the mechanics of each lever is prerequisite to building a coherent strategy.

Pricing (Markup)

Timing: Immediate effect on demand — no persistence across periods

Higher markups improve margins but reduce volume in price-sensitive segments. The trade-off is direct and computable — but the optimal markup shifts as your competitive position changes (right into operating income)

Breadth & Depth

Balance sheet: Ties up working capital; raises interest expense

Retained over time; increases customer appeal and basket size. A core lever for building customer loyalty — but capital-intensive, so the ROIC impact must be monitored.

Private Brand Mix

Valuation impact: Boosts differentiation, loyalty, and gross margins

Contributes directly to firm valuation — CLV and brand-adjusted method benefits are real. Requires quality and cost discipline to avoid margin compression.

Brand Quality

Margin trade-off: Raises willingness to pay but increases COGS

Without corresponding cost improvements (vendor management), quality investment compresses margins rather than expanding them. Must be paired with supply chain discipline.

Online Investment

Balance sheet: Partially capitalized; may require additional debt

Creates value only when demand gains exceed the financial risk added through higher leverage — raises WACC if debt-financed without proportional FCF growth.

Decision Levers: The High-Leverage Moves

The second set of levers includes both the highest-value investments in the simulation and the most common source of value destruction. Knowing which is which — and why — separates disciplined teams from reactive ones.

Shopping Experience

Medium-term persistence; most cost expensed rather than capitalized. Most effective when paired with analytics and margin discipline — creates diminishing returns when deployed without the multiplier effect of customer analytics.

Customer Service

Immediate satisfaction boost, little persistence across periods; all costs expensed; minimal WACC impact. Tactical, not strategic — useful for short-term demand stabilization, not for building T or improving the ROIC–WACC spread.

Customer Analytics

Does not affect demand alone — functions as a **pure multiplier**: amplifies online and experience investments; no balance sheet impact. Zero standalone value, significant amplification value when paired correctly.

The Two Structural Levers

Vendor Management ★

Reduces COGS *over time*; fully expensed but highly retained → structural margin improvement that compounds across periods. Can lower WACC by reducing financial risk. **Most reliable long-term value lever in the simulation.** Start early — the compounding effect requires time to materialize.

Stores ⚠

All investments capitalized → raises assets, debt, and financial risk simultaneously. The most powerful growth lever and the most common value trap. **Expand only after proving a positive ROIC–WACC spread at the store level.** Premature expansion scales losses, not returns.

Summary of Simulation

Very high realism

DCF logic

Very high. Free cash flow, projected and discounted, minus debt — the same math analysts use.

WACC usage

Very high. The discount rate is built from equity and debt rates, exactly as in practice.

Debt–risk relationship

Very high. More borrowing → weaker credit rating → higher WACC → lower value.

High / stylized

Strategic horizon (T)

High. Set by your differentiation on the Kahn Matrix — a clear strategy earns a shorter forecast period.

Kahn Matrix

Stylized but insightful. Four quadrants and a 75%-of-leader fair-value rule compress a messy competitive reality into a usable map.

Simplified

Accounting detail

Simplified. Flat $1.75M store cost, fixed capitalization splits, no inventory holding costs or lease accounting.

Market psychology

Simplified. Investors are pure DCF calculators — no sentiment, narrative, or earnings surprises move the price.

Distressed valuation (3 types)

Simplified but reasonable. Value floors at the max of DCF, breakup, and private-brand value.